

PRESS RELEASE

DTB PRE-TAX PROFIT UP BY 24% TO KSHS 4.3 BILLION, PLANS RIGHTS ISSUE

Nairobi, 1 March 2012.....Diamond Trust Bank has announced another year of record-breaking results, with 2011 group pre-tax profit rising by 24%, from Kshs 3.5 billion in 2010 to Kshs 4.3 billion in 2011.

The group's customer deposit base grew by 30%, from Kshs 66 billion in 2010 to Kshs 86 billion over the corresponding period ending December 2011. The loan book for the group went up by a significant 37%, to stand at Kshs 71 billion. The group asset base increased by 29% to stand at Kshs 108 billion up from Kshs 84 billion; the total group operating income rose to Kshs 9.5 billion up from Kshs 7.7 billion realized over the same period in the previous year.

Announcing the group's annual results, DTB's Managing Director and Group CEO, Mrs. Nasim Devji said: "In 2011, DTB again performed exceptionally well, with the group's market share of assets and profitability continuing to grow across the East African region."

Mrs. Devji added that the sustained growth of DTB's customer base is underpinned by its branch expansion strategy, the roll out of alternative, technology - based channels such as mobile banking, cash management services and enhanced internet banking, as well as enhancing customer convenience through extended banking hours at select DTB branches.

Following the announcement of the results, the bank's Board of Directors has recommended a dividend rate of 42.5%, equating to KShs 1.70 per share, compared to KShs 1.60 (40%) paid last year. This translates into a 27.5% increase, year on year, in the amount of dividend payout as the proposed dividends will also be paid on the bonus shares issued to shareholders mid last year.

DTB's Board also announced its intention to offer 24.5 million shares in a rights issue, on the basis of one share for every eight shares issued, subject to regulatory consents and shareholder approval.

Mr. Abdul Samji, the bank's Chairman, said that the capital raised through the rights issue will be used to finance the bank's strategic expansion plan, which has already seen DTB increase its investments, in the last few years, in the group's subsidiaries in Tanzania, Uganda and Burundi as well as expand its branch footprint in Kenya.

"The raising of additional capital through the rights issue is aimed at funding the bank's plans to explore opportunities to further strengthen its current presence in East Africa, through its subsidiary banks, as well as explore investment opportunities in other markets in the region over the medium term," said Mr. Samji.

Mr. Samji said the date of the launch of the proposed rights issue as well as the subscription price for the issue will be determined by the bank's Board once approvals for the issue have been obtained from the bank's shareholders, at the Annual General Meeting scheduled to be held on 4 May 2012, and the market regulators.



“The Board is confident that the shareholders will wholeheartedly support the 2012 rights issue, as was the case with the 2006 and 2007 rights issues, both of which were oversubscribed,” said Chairman Samji.

DTB is an affiliate of the Aga Khan Fund for Economic Development (AKFED), the economic development arm of the Aga Khan Development Network. Amongst the bank's key shareholders are Habib Bank Limited (HBL), an AKFED subsidiary, and the International Finance Corporation, the private lending arm of the World Bank.

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**DIAMOND
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DIAMOND TRUST BANK KENYA LIMITED

AUDITED GROUP AND BANK RESULTS FOR THE YEAR ENDED 31 DECEMBER 2011

	GROUP		BANK	
BALANCE SHEET	Dec. 2011 Shs 000 Audited	Dec. 2010 Shs 000 Audited	Dec. 2011 Shs 000 Audited	Dec. 2010 Shs 000 Audited
ASSETS				
Cash (both local and foreign)	2,027,630	1,463,220	1,225,856	836,618
Balances due from Central Banks	6,253,871	5,001,928	3,194,859	2,508,731
Kenya Government securities	8,086,583	9,077,110	8,086,583	9,077,110
Foreign currency Treasury bills and bonds	3,280,243	3,991,383	-	-
Deposits and balances due from local banking institutions	6,530,225	2,806,184	6,530,225	2,806,184
Deposits and balances due from banking institutions abroad	5,977,191	5,124,454	2,922,526	1,598,569
Kenya Government and other securities held for dealing purposes	-	410,665	-	410,665
Income tax recoverable	6,206	15,827	-	-
Loans and advances to customers (net)	71,297,721	52,196,641	50,943,685	37,850,277
Investment securities	37,614	59,928	37,614	59,928
Balances due from group companies	-	-	426,157	202,032
Investments in associates	1,940	2,599	1	1
Investment in subsidiary companies	-	-	1,273,794	1,118,866
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	2,013,943	1,510,816	1,091,291	722,474
Prepaid lease rentals	19,164	15,348	-	-
Intangible assets	281,030	249,599	235,356	180,156
Goodwill	173,372	173,372	-	-
Deferred tax asset	459,092	284,966	408,121	245,330
Retirement benefit asset	-	-	-	-
Other assets	1,319,239	1,216,137	1,076,956	988,882
Total Assets	107,765,064	83,600,177	77,453,024	58,605,823
LIABILITIES				
Balances due to Central Bank of Kenya	-	399,957	-	399,957
Customer deposits	85,986,399	66,196,600	59,772,275	44,903,973
Deposits and balances due to local banking institutions	1,342,956	754,035	1,342,956	754,035
Deposits and balances due to banking institutions abroad	802,001	1,654,295	315,671	830,752
Other money market deposits	-	-	-	-
Borrowed funds	3,911,680	2,109,519	3,834,686	2,020,031
Balances due to group companies	-	-	-	-
Current income tax payable	73,867	355,227	58,767	341,959
Dividends payable	-	-	-	-
Deferred income tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	2,399,342	1,870,865	1,762,195	1,297,739
Total Liabilities	94,516,245	73,340,498	67,086,550	50,548,446
SHAREHOLDERS' EQUITY				
Paid up capital	782,578	652,148	782,578	652,148
Share premium	2,197,735	2,197,735	2,197,735	2,197,735
Revaluation reserve	368,471	86,122	364,794	17,241
Retained earnings	7,796,631	5,627,348	6,573,480	4,814,103
Statutory loan loss reserve	115,291	115,291	115,291	115,291
Proposed dividends	332,596	260,859	332,596	260,859
Capital grants	-	-	-	-
Total Shareholders' Equity	11,593,302	8,939,503	10,366,474	8,057,377
Non-controlling interests	1,655,517	1,320,176	-	-
Total Equity	13,248,819	10,259,679	10,366,474	8,057,377
Total Liabilities and Shareholders' Equity	107,765,064	83,600,177	77,453,024	58,605,823



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DIAMOND TRUST BANK KENYA LIMITED

AUDITED GROUP AND BANK RESULTS FOR THE YEAR ENDED 31 DECEMBER 2011

	GROUP		BANK	
PROFIT AND LOSS ACCOUNT	Dec. 2011 Shs 000 Audited	Dec. 2010 Shs 000 Audited	Dec. 2011 Shs 000 Audited	Dec. 2010 Shs 000 Audited
INTEREST INCOME				
Loans and advances	8,927,719	6,193,158	6,479,319	4,514,442
Government securities	790,358	913,045	452,966	652,556
Deposits and placements with banking institutions	321,021	257,976	293,382	235,129
Other interest income	-	-	-	-
Total Interest Income	10,039,098	7,364,179	7,225,667	5,402,127
INTEREST EXPENSES				
Customer deposits	3,090,651	2,445,552	2,379,845	1,877,994
Deposits and placements from banking institutions	121,495	35,865	40,723	29,077
Other interest expenses	92,056	63,912	88,696	59,889
Total Interest Expenses	3,304,202	2,545,329	2,509,264	1,966,960
NET INTEREST INCOME	6,734,896	4,818,850	4,716,403	3,435,167
OTHER OPERATING INCOME				
Fees and commissions on loans and advances	579,113	386,006	355,642	250,204
Other fees and commissions income	973,552	721,912	536,662	415,351
Foreign exchange trading income	996,483	683,208	656,021	402,418
Dividend income	2,550	2,550	17,982	12,623
Other income	235,695	1,094,378	153,510	1,049,309
Total Non-Interest Income	2,787,393	2,888,054	1,719,817	2,129,905
TOTAL OPERATING INCOME	9,522,289	7,706,904	6,436,220	5,565,072
OPERATING EXPENSES				
Loan loss provision	631,314	571,077	492,838	445,700
Staff costs	2,030,428	1,720,717	1,247,641	1,117,955
Directors' emoluments	59,768	57,459	31,660	29,585
Rentals charges	301,985	221,378	162,595	126,966
Depreciation charge on property and equipment	365,917	301,501	193,505	152,556
Amortisation charges	100,361	72,833	67,296	43,097
Other operating expenses	1,724,620	1,297,488	992,211	777,402
Total Operating Expenses	5,214,393	4,242,453	3,187,746	2,693,261
Profit from operations before exceptional items	4,307,896	3,464,451	3,248,474	2,871,811
Exceptional items	-	-	-	-
Profit from operations	4,307,896	3,464,451	3,248,474	2,871,811
Share of associates profit after tax	(483)	(1,452)	-	-
Profit before tax	4,307,413	3,462,999	3,248,474	2,871,811
Current tax	(1,489,336)	(1,114,604)	(1,163,133)	(943,019)
Deferred tax credit	178,649	133,775	161,551	129,354
Profit after tax	2,996,726	2,482,170	2,246,892	2,058,146
Non-controlling interests	(339,929)	(197,346)	-	-
Profit after tax and non-controlling interests	2,656,797	2,284,824	2,246,892	2,058,146
Earnings per share (Shs per share) - basic and diluted	13.58	11.68	11.48	10.52
Dividend per share (Shs per share)	1.70	1.60	1.70	1.60

ANNUAL GENERAL MEETING AND DECLARATION OF DIVIDEND

Based on the year-end results achieved, the Directors will recommend to the Shareholders at the Annual General Meeting to be held at the Kenyatta International Conference Centre, Aberdares Hall, Nairobi, on 4 May 2012, payment of a first and final dividend of 42.5% (i.e. at the rate of Shs 1.70 per share) for 2011 on the issued and paid-up share capital of Shs 783 million subject to withholding tax, where applicable.

For purposes of payment of the dividend, the Share Register of the Bank will be closed from 4 May 2012 to 14 May 2012, both dates inclusive, and payment of dividend due to Shareholders on the Register, as at the close of business on 4 May 2012, will be made on or about 15 June 2012.

RIGHTS ISSUE

The Board of Directors of Diamond Trust Bank Kenya Limited has, by resolution dated 29 February 2012, proposed a Rights Issue in the ratio of 1 ordinary share for every 8 ordinary shares held, subject to approval by the shareholders at an Annual General Meeting to be held on 4 May 2012 and approval by market regulators.

By order of the Board

Stephen Kodumbe
Company Secretary

29 February 2012

DIAMOND TRUST BANK KENYA LIMITED
AUDITED GROUP AND BANK RESULTS FOR THE YEAR ENDED 31 DECEMBER 2011

OTHER DISCLOSURES

GROUP

BANK

	Dec. 2011 Shs 000 Audited	Dec. 2010 Shs 000 Audited	Dec. 2011 Shs 000 Audited	Dec. 2010 Shs 000 Audited
(1) NON -PERFORMING LOANS AND ADVANCES				
(a) Gross non-performing loans and advances	753,489	787,800	661,705	682,849
(b) Interest in suspense	116,522	98,025	111,132	93,366
(c) Total Non-Performing Loans and Advances (a-b)	636,967	689,775	550,573	589,483
(d) Loan loss provisions	602,435	645,610	549,462	588,379
(e) Net Non-Performing Loans (c-d)	34,532	44,165	1,111	1,104
(f) Discounted Value of Securities	34,532	44,165	1,111	1,104
(g) Net NPLs Exposure (e-f)	-	-	-	-
(2) Insider Loans and Advances				
(a) Directors, Shareholders and associates	1,945,972	1,153,496	1,532,313	1,056,199
(b) Employees	405,678	236,689	316,774	168,258
(c) Total Insider Loans and Advances	2,351,650	1,390,185	1,849,087	1,224,457
(3) Off-Balance Sheet Items				
(a) Letters of credit, guarantees, acceptances	9,198,161	7,442,771	6,771,634	5,811,402
(b) Other contingent liabilities	10,917,730	9,305,636	9,446,095	8,745,297
(c) Total Contingent Liabilities	20,115,891	16,748,407	16,217,729	14,556,699
(4) Capital Strength				
(a) Core Capital			8,228,997	6,636,997
(b) Minimum Statutory Capital			700,000	500,000
(c) Excess/(Deficiency)			7,528,997	6,136,997
(d) Supplementary capital			1,489,309	1,335,641
(e) Total capital (a+d)			9,718,306	7,972,638
(f) Total risk weighted assets			57,897,786	43,248,852
(g) Core capital/total deposit liabilities			13.7%	14.7%
(h) Minimum Statutory Ratio			8.0%	8.0%
(i) Excess/(Deficiency) (g-h)			5.7%	6.7%
(j) Core capital/total risk weighted assets			14.2%	15.3%
(k) Minimum Statutory Ratio			8.0%	8.0%
(l) Excess/(Deficiency) (j-k)			6.2%	7.3%
(m) Total capital/total risk weighted assets			16.8%	18.4%
(n) Minimum Statutory Ratio			12.0%	12.0%
(o) Excess/(Deficiency) (m-n)			4.8%	6.4%
(5) Liquidity				
(a) Liquidity Ratio			35.7%	35.8%
(b) Minimum Statutory Ratio			20.0%	20.0%
(c) Excess/(Deficiency) (a-b)			15.7%	15.8%

MESSAGE FROM DIRECTORS

The above balance sheet and profit and loss account are extracts from the Group's and Bank's financial statements which have been audited by PricewaterhouseCoopers and have received an unqualified opinion. A full set of financial statements will be available from our offices once they are approved by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 29 February 2012, and were signed on its behalf by:

Abdul Samji	-	Chairman
Nasim Devji	-	Managing Director
Amin Merali	-	Director
Stephen Kodumbe	-	Company Secretary

DIAMOND TRUST BANK KENYA LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2010

	Share capital	Share premium	Retained earnings	Other reserves	Statutory loan loss reserve	Proposed dividend	Attributable to equity holders of the bank	Non controlling interests	Total
Notes	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	652,148	2,197,735	3,628,298	177,903	89,371	252,708	6,998,163	1,090,035	8,088,198
Comprehensive income									
Profit for the year	-	-	2,284,824	-	-	-	2,284,824	197,346	2,482,170
Other comprehensive income:									
Fair value loss on Government securities	-	-	-	(36,375)	-	-	(36,375)	-	(36,375)
Deferred tax on fair value changes	-	-	-	10,912	-	-	10,912	-	10,912
Fair value changes in equity investments	-	-	-	1,913	-	-	1,913	-	1,913
Deferred tax on fair value changes	-	-	-	(574)	-	-	(574)	-	(574)
Translation adjustment	-	-	-	(66,652)	-	-	(66,652)	(67,170)	(133,822)
Transfer of excess depreciation to retained earnings	-	-	1,437	(1,437)	-	-	-	-	-
Deferred tax on excess depreciation	-	-	(432)	432	-	-	-	-	-
Statutory loan loss reserve	-	-	(25,920)	-	25,920	-	-	-	-
(i)									
(ii)									
Total comprehensive income	-	-	2,259,909	(91,781)	25,920	-	2,194,048	130,176	2,324,224
Issue of additional shares to non controlling interests	-	-	-	-	-	-	-	110,263	110,263
Distributions to owners									
Dividends:									
- Final for 2009 paid	-	-	-	-	-	(252,708)	(252,708)	(10,298)	(263,006)
- Proposed for 2010	-	-	(260,859)	-	-	260,859	-	-	-
At end of year	652,148	2,197,735	5,627,348	86,122	115,291	260,859	8,939,503	1,320,176	10,259,679

(i) These differences arise on translation of opening reserves in subsidiary companies at the end of period exchange rates.

(ii) Where impairment losses required by the regulators exceed those computed under IFRS, the excess is recognised as a statutory loan loss reserve and is accounted for as an appropriation of retained earnings. The statutory loan loss reserve is not distributable.

DIAMOND TRUST BANK KENYA LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2011

	Share capital	Share premium	Retained earnings	Other reserves	Statutory loan loss reserve	Proposed dividend	Attributable to equity holders of the bank	Non controlling interests	Total
Notes	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	652,148	2,197,735	5,627,348	86,122	115,291	260,859	8,939,503	1,320,176	10,259,679
Adjustment of reserves on adoption of IFRS 9	-	-	(45,849)	25,463	-	-	(20,386)	-	(20,386)
	652,148	2,197,735	5,581,499	111,585	115,291	260,859	8,919,117	1,320,176	10,239,293
Comprehensive income									
Profit for the year	-	-	2,656,797	-	-	-	2,656,797	339,929	2,996,726
Other comprehensive income:									
Fair value changes in equity investments	-	-	-	(22,314)	-	-	(22,314)	-	(22,314)
Deferred tax on fair value changes	-	-	-	6,694	-	-	6,694	-	6,694
Translation adjustment	-	-	-	(65,105)	-	-	(65,105)	(45,726)	(110,831)
Surplus on revaluation of properties	-	-	-	352,452	-	-	352,452	-	352,452
	-	-	2,656,797	-	-	-	2,656,797	339,929	2,996,726
Total comprehensive income									
Bonus share issue	130,430	-	2,656,797	271,727	-	-	2,928,524	294,203	3,222,727
Write back of unclaimed dividends	-	-	(130,430)	-	-	-	-	-	-
Issue of additional shares to non controlling interests	-	-	21,361	-	-	-	21,361	-	21,361
Acquisition of interests from non controlling interests in Diamond Trust Bank Uganda Limited.	-	-	-	-	-	-	-	93,385	93,385
Distributions to owners									
Dividends:									
- Final for 2010 paid	-	-	-	-	-	(260,859)	(260,859)	(12,869)	(273,728)
- Proposed for 2011	-	-	(332,596)	-	-	332,596	-	-	-
At end of year	782,578	2,197,735	7,796,631	368,471	115,291	332,596	11,593,302	1,655,517	13,248,819

(i) These differences arise on translation of opening reserves in subsidiary companies at the end of period exchange rates.

(ii) Dividends that have remained unclaimed for over six years as at 31 December 2011 were written back to retained earnings in line with the Bank's Articles of Association.

DIAMOND TRUST BANK KENYA LIMITED
CONSOLIDATED STATEMENT OF CASHFLOWS
FOR THE YEAR ENDED 31 DECEMBER 2011

	2011 Shs'000	2010 Shs'000
Cash flows from operating activities		
Interest receipts	9,851,577	7,243,195
Interest payments	(2,943,926)	(2,521,208)
Net fee and commission receipts	1,697,804	1,214,509
Other income received	930,041	634,724
Proceeds from sale of investment securities	1,057,655	1,027,743
Recoveries from loans previously written off	42,525	13,223
Payments to employees and suppliers	(4,090,742)	(3,267,913)
Income tax paid	(1,742,845)	(777,237)
Cash flows from operating activities before changes in operating assets and liabilities	4,802,089	3,567,036
Changes in operating assets and liabilities:		
- cash reserve requirement	(933,607)	(689,715)
- Government securities	1,787,606	(5,074,241)
- loans and advances to customers	(20,407,606)	(10,199,393)
- customer deposits	19,549,049	13,424,960
- other assets net of prepaid lease rentals	(103,102)	(339,411)
- other liabilities	528,477	563,463
Net cash from operating activities	5,222,906	1,252,699
Cash flows from investing activities		
Purchase of property and equipment	(534,082)	(338,051)
Purchase of intangible assets - software costs	(132,126)	(100,458)
Purchase of shares in associate	-	(4,051)
Proceeds from sale of property and equipment	2,896	1,607
Dividend received	2,550	2,550
Net cash used in investing activities	(660,762)	(438,403)
Cash flows used in financing activities		
Proceeds from long term loan	1,802,000	28,770
Finance costs	(92,056)	(63,912)
Exchange difference in long term debt	10,000	127,250
Dividends paid to equity holders of the Bank	(260,859)	(252,708)
Dividends paid to non controlling interests	(12,869)	(10,298)
Net cash used in financing activities	1,446,216	(170,898)
Net increase in cash and cash equivalents	6,008,360	643,398
Cash and cash equivalents at start of year	8,283,756	7,727,215
Translation difference	(159,216)	(86,857)
	8,124,540	7,640,358
Cash and cash equivalents at end of year	14,132,900	8,283,756